

Fixed Deposit – Product Guide

Scheme features, rate card, and comparison reference

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Fixed Deposit Servicing Knowledge Base

This guide describes the Fixed Deposit (FD) schemes currently offered, their features, indicative interest rates, and how they compare against other common deposit and investment options. It is intended to help customer service teams answer product and comparison queries accurately.

1. Product Overview

Regular Fixed Deposit

A standard term deposit available to individuals, joint holders, and entities, with tenures from 12 to 60 months. Available in both cumulative (interest compounded and paid at maturity) and non-cumulative (periodic payout) variants.

Senior Citizen Fixed Deposit

Identical structure to the Regular FD, with an additional rate benefit for depositors aged 60 years and above. Available in cumulative and non-cumulative variants across the same tenure range.

Tax-Saving Fixed Deposit

A 5-year fixed-tenure deposit that qualifies for a tax deduction under the applicable section of the Income Tax Act, up to the prescribed annual limit. This variant does not permit premature withdrawal or loan against the deposit, except in case of the depositor's death.

Flexi / Sweep-in Fixed Deposit

A deposit linked to a savings account that automatically sweeps surplus balance above a threshold into an FD, and sweeps funds back to the savings account if the balance falls short of a transaction. Offers savings-account liquidity with FD-like returns on the swept amount.

2. Indicative Interest Rate Card

Rates below are indicative and illustrate the general slab structure; the rate applicable to a specific deposit is the one published on the booking date and locked in for the chosen tenure.

Tenure	Regular (% p.a.)	Senior Citizen (% p.a.)
12 months to 23 months	6.80%	7.05%
24 months to 35 months	7.10%	7.35%
36 months to 44 months	7.40%	7.65%
45 months to 60 months	7.25%	7.50%
Tax-Saving (60 months)	7.25%	7.50%

Note: Senior citizen rates apply to the primary holder only. Bulk deposits (above Rs 2 crore) are priced on a separate card and are not covered by the rates above.

3. Key Features Summary

Feature	Regular / Senior Citizen FD	Tax-Saving FD
Tenure	12–60 months	Fixed at 60 months
Premature withdrawal	Permitted after 3 months, with penalty	Not permitted
Loan / overdraft against FD	Permitted, typically up to 90% of value	Not permitted
Payout options	Cumulative or periodic	Cumulative or periodic
Tax benefit on principal	Not available	Available, up to prescribed limit
Auto-renewal	Available, opt-out at booking	Not applicable

4. How a Fixed Deposit Compares

This section is a quick reference for the comparison questions customer service teams receive most often. It is general guidance, not financial advice, and should be presented to depositors as such.

Fixed Deposit vs Recurring Deposit (RD)

An FD requires a lump-sum deposit upfront and is suited to depositors who already have a corpus to invest. An RD is built through fixed monthly instalments and suits depositors looking to save gradually toward a future goal. RD interest rates are typically comparable to FD rates of similar tenure, but the effective yield is lower because not all the money is invested from day one.

Fixed Deposit vs Mutual Funds (Debt or Equity)

An FD offers a fixed, pre-known return and capital protection, with no market-linked fluctuation. Mutual funds carry market risk and the return is not guaranteed, but they offer the potential for higher returns over the long term, particularly for equity funds. Depositors prioritising safety and predictability are generally better suited to an FD, while those comfortable with market risk in exchange for potentially higher long-term returns may prefer mutual funds. The right mix depends on the depositor's goals, time horizon, and risk appetite.

Fixed Deposit vs Savings Account

A savings account offers full liquidity but a materially lower interest rate. An FD locks in funds for a chosen tenure in exchange for a substantially higher rate. A Flexi / Sweep-in FD is often the right middle ground for depositors who want both liquidity and a better rate on surplus balances.